

September hiring slows, while Fed official stresses inflation concerns

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US hiring slowed in September, with employers adding 29,000 jobs, fewer than economists expected. The unemployment rate edged up to 4.2 percent from 4.1 percent in August. Earlier **estimates** of job gains in July and August were also reduced by a combined 60,000.

The unemployment rate describes the share of people in the **labor force** who do not have jobs and are looking for work. A small change can provide useful information, but it does not explain every worker's experience or establish the economy's direction by itself.

Speaking to PBS NewsHour, Beth Hammack, president of the Federal Reserve Bank of Cleveland, cautioned against placing too much weight on a single monthly report. Job figures can vary from month to month. Over the past 12 months, she said, the economy had added an average of 41,000 jobs per month.

Hammack said that pace was broadly in line with her estimate of the growth needed to keep the labor market balanced. She viewed unemployment as relatively low and stable, close to her estimate of maximum employment. She also acknowledged that losing work can be deeply difficult for an individual.

Asked whether job growth depended too heavily on particular **industries**, Hammack said it was broadening. Health care remains a large and growing sector as the population ages, but she said other parts of the economy were creating jobs too.

Her stronger concern was **inflation**, the overall rise in prices. The Federal Reserve has two goals: maximum employment and stable prices. Hammack said **inflation** had missed the Fed's 2 percent objective for more than five and a half years.

When **wages** fail to keep pace with prices, people can afford less even if their pay increases. Hammack described conversations with people in low- and moderate-income professions in Northeast Ohio. Some said they were choosing which essential bills to pay and depending more on credit.

The report has implications for prices and **interest rates**, which affect borrowing costs. It also arrives a month before the midterm elections. The report and Hammack's comments describe both employment trends and the financial pressures some families face.

Word Treasure

estimates -- Calculated figures that may change when more information becomes available.

labor force -- People who are working or looking for work.

industries -- Different types of business activity.

inflation -- An overall rise in prices.

wages -- Money people receive for their work.

interest rates -- Rates that affect how much it costs to borrow money.

Background you need

Monthly job figures can vary, so a single report does not establish the economy's direction by itself.

Inflation means prices rise overall; pay increases may still leave people able to buy less if prices rise faster.

Interest rates affect borrowing costs.

Break it down

Starts with September hiring, unemployment and revisions to earlier job estimates.

Defines the unemployment rate and explains the limits of one report.

Describes Hammack's assessment of average job growth and employment.

Presents her comments on job growth across industries.

Explains the Federal Reserve's goals and Hammack's inflation concern.

Connects wages and prices to reported household pressures, then gives the election timing.

Why it matters

The report helps readers understand employment trends, while Hammack's account explains how prices rising faster than wages can strain family budgets. Interest rates also affect the cost of borrowing.

Test what you remember

1. What happened to earlier estimates of job gains in July and August?
 - (A) They were reduced by a combined 29,000.
 - (B) They were reduced by a combined 60,000.
 - (C) They were increased by a combined 60,000.
 - (D) They were increased by a combined 29,000.
2. According to Hammack, what was average monthly job growth over the past 12 months?
 - (A) 41,000 jobs per month
 - (B) 29,000 jobs per month
 - (C) 60,000 jobs per month
 - (D) 12,000 jobs per month
3. How did Hammack describe job growth across industries?
 - (A) It was limited entirely to health care.
 - (B) It was shifting entirely to farming.
 - (C) It was stopping throughout the economy.
 - (D) It was broadening beyond health care.
4. What are the Federal Reserve's two goals described in the article?
 - (A) Maximum exports and stable wages
 - (B) Maximum savings and stable rents
 - (C) Maximum employment and stable prices
 - (D) Maximum production and stable taxes
5. What happens when wages grow more slowly than prices?
 - (A) People's borrowing costs always fall.
 - (B) People can afford more with their pay.
 - (C) People's essential bills always shrink.
 - (D) People can afford less with their pay.
6. What did some people in Northeast Ohio tell Hammack?
 - (A) They were seeing essential bills fall each month.
 - (B) They were choosing which essential bills to pay.
 - (C) They were finding all essential bills easier to pay.
 - (D) They were using less credit for essential bills.

Answer key (try the quiz first!): 1: B 2: A 3: D 4: C 5: D 6: B

Questions to think about

1. Beth Hammack: She cautioned against judging a single monthly report, viewed unemployment as relatively low and stable, and said job growth was broadening. She identified inflation as her stronger concern and described financial pressures reported by people she met in Northeast Ohio.

MY THOUGHTS (at least 20 words):